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RESEARCH

EU AI-Act-Readiness as a Productized SME Service: Scope, Deliverables, Pricing, and Sales Motion (2026)

Version v1 **Status** Draft **Project** IW AI Core Platform **Generated** 2026-06-23

Contents

Research ID: R-00150
Date: 2026-06-23
Mode: market
Depth: deep
Primary Question: How can a small EU software firm package and sell an AI-Act-readiness service to SMEs in 2026 — scope, deliverables, pricing, and go-to-market?

> **IMPORTANT DISCLAIMER**: This document is business and market research, not legal advice. Nothing herein constitutes legal, regulatory, or compliance counsel. The service designs and pricing described are commercial frameworks derived from market observation. Firms delivering AI-Act-readiness services to clients must operate within the boundaries of applicable professional regulations and must not represent themselves as providing legal opinions unless qualified and regulated to do so. Clients should engage qualified legal counsel for jurisdiction-specific compliance determinations.

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CHAPTER 01

Executive Summary

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The EU AI Act entered into force in August 2024 and has been rolling out obligations in phases: prohibited practices since February 2025, GPAI model rules since August 2025, and Article 50 transparency obligations effective 2 August 2026. The Digital Omnibus (provisionally agreed 7 May 2026, European Parliament vote 16 June 2026, Council adoption expected 29 June 2026) has deferred the main Annex III high-risk deadline from 2 August 2026 to 2 December 2027, but has not deferred Article 4 AI literacy (already in force), Article 50 transparency (2 August 2026), or the August 2025 GPAI rules. With 78% of organizations unprepared and the compliance solutions market growing at 37.3% CAGR to reach USD 609 million in 2026, a productive market window exists for a small EU software firm to package and sell AI-Act-readiness services targeting SMEs. The winning positioning combines regulatory readiness with actual AI implementation capability — positioning the firm as an implementation partner that also ensures compliance, not merely a checkbox consultant. A productized five-tier service ladder, anchored by a fixed-fee discovery assessment (€5–8k) and escalating to a governance retainer (€2–5k/month), provides predictable revenue and a wedge into longer-term AI build engagements.

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CHAPTER 02

Background

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Background

This research builds on four prior filed researches in the IW AI Core database:

- **R-00131** (IW GTM funnel): Established the core funnel architecture — awareness through regulatory content, conversion via a diagnostic tool or workshop, expansion through implementation and retainer. AI-Act readiness was identified as a natural wedge.
- **R-00135** (EU pricing/packaging benchmarks): Established EU market pricing bands — assessments in the €5–25k range, implementation engagements at €40–150k, monthly retainers at €2–20k. These benchmarks are adopted here without re-derivation and extended with AI-Act-specific anchors.
- **R-00146** (SMB playbook): Named AI-Act readiness explicitly as a wedge offer for SMB accounts, noting the compliance-as-trust-signal dynamic and its role in opening procurement doors.
- **R-00148 / R-00129** (Brussels Effect, EU compliance as differentiator): Documented how EU regulatory compliance certification increasingly functions as a global procurement signal, and how EU-native firms hold an authentic credibility advantage over US hyperscale players on sovereignty grounds.

The gap this research fills: prior researches established the GTM structure and pricing bands but did not specify the concrete service design — what is actually delivered, at what scope, in what sequence, for what buyer — specifically in the AI Act context. This document provides that concrete specification, grounded in the current regulatory state (post-Omnibus provisional agreement, June 2026), documented SME market gaps, and comparable service market evidence.

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CHAPTER 03

Findings

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Findings

The EU AI Act (Regulation EU 2024/1689) entered into force on 1 August 2024. Obligations have been and continue to roll out in phases. The Digital Omnibus on AI (COM(2025) 836 as amended) reached a provisional agreement on 7 May 2026; the European Parliament voted approval on 16 June 2026; the Council of the EU is expected to formally adopt on 29 June 2026, after which publication in the Official Journal and three-day entry into force will follow — making formal effect expected in early July 2026. The following dates reflect the post-Omnibus planning consensus, noting that formal adoption was imminent at the time of this research. [source: EU lawmakers reach provisional agreement, Sidley Data Matters, 22 June 2026; Gibson Dunn Omnibus Analysis; Inside Privacy analysis]

1. The Regulatory Hook: Precise Current State [HIGH confidence]

1.1 Enforcement Timeline (Post-Digital-Omnibus)

Date	What Takes Effect	Deferral?
1 Aug 2024	Act enters into force; no obligations yet	—
2 Feb 2025	**Prohibited practices** (Art 5) + **AI literacy** (Art 4)	Not deferred
2 Aug 2025	**GPAI model rules** (Art 51–56), governance, penalties in force	Not deferred
2 Aug 2026	**Article 50 transparency** obligations (chatbots, deepfakes, synthetic content); enforcement of Art 4 begins by national MSAs	Not deferred
2 Dec 2026	Machine-readable watermarking grace period expires (4-month grace for systems already on market); new Art 5 prohibitions on NCII/CSAM take effect	Added by Omnibus
2 Dec 2027	**High-risk Annex III** obligations (stand-alone use-based: recruitment, credit scoring, education, biometrics, law enforcement, border control, etc.)	Deferred from 2 Aug 2026
2 Aug 2028	**High-risk Annex I** obligations (AI embedded in regulated products: medical devices, machinery, vehicles)	Deferred from 2 Aug 2027
2 Aug 2030	High-risk AI systems used by public authorities (Annex X scope)	Unchanged

[source: artificialintelligenceact.eu Implementation Timeline; Legiscope EU AI Act Timeline; White & Case Digital Omnibus]

Practical implication for mid-2026: As of today (23 June 2026), the immediate live obligations for all deployers and providers are: (a) prohibition on the banned AI practices (Art 5, since Feb 2025); (b) the AI literacy obligation (Art 4, since Feb 2025, with enforcement commencing 2 Aug 2026); (c) all GPAI model-level obligations for GPAI providers (since Aug 2025). The Article 50 transparency requirements become enforceable on 2 August 2026 — approximately six weeks from today. Annex III high-risk obligations are planning-deferred to Dec 2027 but the window is not a reprieve — it is preparation time.

1.2 Article 4 — AI Literacy Obligation [HIGH confidence]

Article 4 has been in force since 2 February 2025. It requires all providers and deployers — regardless of the risk tier of the AI systems they build or use — to ensure "a sufficient level of AI literacy" of their staff and others dealing with AI on their behalf. The obligation is contextual: it requires considering the technical knowledge, experience, education, and training of personnel, plus the specific AI use context. There is no prescribed format, no mandatory certification, and no fixed threshold. Enforcement by national market surveillance authorities (MSAs) commences 2 August 2026. The EU AI Office published a Living Repository and public Q&A on Article 4 in early 2025, confirming that compliance requires a programme, not a one-off seminar. [source: Article 4, artificialintelligenceact.eu; EU Commission AI Literacy FAQ; Crowell & Moring AI Literacy analysis]

Commercial significance: Art 4 applies to every organisation using AI — the largest addressable universe. A productized AI literacy training package (Tier D in the service ladder below) is the broadest entry-point product, with zero risk-tier dependency.

1.3 Article 50 — Transparency Obligations [HIGH confidence]

Effective 2 August 2026. Covers four distinct categories: (1) any AI system designed for direct human interaction (chatbots, virtual assistants, automated phone systems) must inform users they are interacting with AI at the first interaction; (2) synthetic audio, image, video, or text must be machine-readable marked; (3) emotion recognition and biometric categorisation systems must disclose to exposed individuals; (4) AI-generated deepfakes must be disclosed unless evidently artistic or law-enforcement-authorized. The Digital Omnibus added a four-month grace period (to 2 December 2026) specifically for machine-readable watermarking for systems already on market before 2 August 2026. Non-compliance penalties: up to €15 million or 3% of global turnover (whichever is higher for large firms; whichever is lower for SMEs). [source: Article 50, artificialintelligenceact.eu; EU Commission Article 50 Service Desk; Greenberg Traurig deepfakes analysis, June 2026]

Commercial significance: Any SME deploying a customer-facing chatbot (including on their website), any AI content generation tool, or any AI-assisted hiring/HR tool faces Art 50 obligations that are live and enforceable in six weeks. This creates an urgent, concrete, near-term sales hook that predates the Dec 2027 high-risk deferral.

1.4 High-Risk Annex III Categories [HIGH confidence]

Eight categories of high-risk use-based AI systems under Annex III, now applicable from 2 December 2027 (post-Omnibus): biometric identification and categorisation; critical infrastructure management; education and vocational training (admissions, assessments, monitoring); employment and HR (recruitment/selection, performance evaluation, task allocation); essential private services (creditworthiness, insurance pricing, emergency services); law enforcement; migration/asylum/border control; administration of justice. For each high-risk system, providers must establish: a risk management system (Art 9), data governance (Art 10), technical documentation (Art 11, per Annex IV — typically 50–200 pages), record-keeping/logging (Art 12), transparency/instructions for use (Art 13), human oversight (Art 14), accuracy/robustness/cybersecurity (Art 15), and a quality management system (Art 17). A conformity assessment must be completed before market placement. [source: Annex III, artificialintelligenceact.eu; Article 9, artificialintelligenceact.eu; Article 11, artificialintelligenceact.eu; Glocert Readiness Assessment Guide]

Deployer obligations (Art 26, 27): High-risk deployers must implement human oversight, retain automated logs for at least six months, and — when they are public bodies or private firms delivering public services (or insurers, financial institutions) — conduct a Fundamental Rights Impact Assessment (FRIA, Art 27) before first use and notify the national MSA of results. [source: Article 26; Article 27]

1.5 Penalty Structure and SME-Favourable Lower-Bound [HIGH confidence]

The penalty tiers under Article 99 are: (a) prohibited practices — up to €35 million or 7% of global annual turnover; (b) high-risk system non-compliance — up to €15 million or 3% of global turnover; (c) false or misleading information to authorities — up to €7.5 million or 1% of global turnover. For large enterprises, the fine is the higher of the fixed amount or the turnover percentage. For SMEs (including startups), the fine is the lower — meaning a firm with €2 million turnover faces a theoretical maximum fine of €140,000 for a Tier 1 violation, not €35 million. National MSAs must consider the interests of SMEs and startups when calculating fines. [source: Article 99, artificialintelligenceact.eu; Legalithm penalties analysis; AIActStack fines guide]

Sales argument: The SME lower-bound is a meaningful structural protection, but it is not a shield against reputational damage, procurement disqualification, or losing enterprise contracts. Compliance is increasingly a trust signal in enterprise and public-sector procurement, where the harm from being disqualified from a tender outweighs any fine reduction. [source: EU AI Act: Inside the 2026 Deal Room]

1.6 SME-Specific Provisions (Selling Points) [HIGH confidence]

The AI Act and Digital Omnibus introduce substantial SME-specific accommodations that a consulting firm can position as actively exploitable rather than merely reassuring:

- **Regulatory sandboxes (Art 58, 62)**: Free access with priority for SMEs and startups. Every EU member state must establish at least one sandbox (deadline deferred to Aug 2027 by Omnibus, but many are operational). The AI Office operates an EU-level sandbox with SME priority. Sandbox participation creates compliance records and good-faith protection against fines. [source: Small Business Guide to the AI Act, artificialintelligenceact.eu; Electe AI Sandbox Guide]
- **Simplified documentation templates**: The Commission develops official simplified forms for SME technical documentation, accepted by national MSAs. Microenterprises (<10 employees, <€2M turnover) may satisfy QMS requirements in "simplified manner."
- **Reduced assessment fees**: Conformity assessment fees for SMEs must be proportional to the firm's size and market.
- **Reduced fines**: The lower-bound mechanism described above.
- **Extended to small mid-caps**: The Digital Omnibus extends SME benefits to companies with up to 750 employees and €150 million revenue — significantly broader than the standard

SME definition. [source: Mishcon Omnibus Analysis; Orrick 7 Key Changes]

- **EDIH support**: 251 European Digital Innovation Hubs across the EU provide free SME support including compliance guidance, testing, and skills development. A consulting firm can position itself as the action layer that translates EDIH resources into firm-specific compliance work. [source: European Digital Innovation Hubs]

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2. The Market Gap: SME Readiness and What They Actually Need [HIGH confidence]

2.1 Quantified Unpreparedness

78% of organisations have not taken meaningful steps toward AI Act compliance as of April 2026, per the Vision Compliance 2026 EU AI Act Readiness Report. [source: Vision Compliance 2026 Report via EIN Presswire] Over 50% of organisations lack even a basic AI inventory. 40% of AI systems have unclear risk classification. [source: CSA Research Note EU AI Act Deadline] These figures are enterprise-skewed; SME unpreparedness is structurally higher given resource constraints.

The EU AI Act compliance solutions market is projected at USD 609.4 million in 2026, growing to USD 10.5 billion by 2035 at a 37.3% CAGR. Large enterprises hold 68% of current market share; SMEs are the underserved and fastest-growing segment. [source: Dimension Market Research EU AI Act Compliance Solutions Market]

2.2 Root Causes of SME Unpreparedness

Three structural barriers apply: (1) financial constraints — building compliance from scratch costs €50k–500k for high-risk systems, and SMEs face difficult budget trade-offs with no dedicated compliance staff; (2) technical expertise gaps — generalist teams cannot handle multi-domain regulatory requirements; (3) complexity and noise — the regulatory text is 144 recitals and 113 articles, Omnibus amendments add further layers, and guidance documents (codes of practice, harmonised standards) remain in draft. The August 2025 GPAI requirements created an accelerated timeline that hit many firms before they had digested the base regulation. [source: AI Policy Bulletin SME Barriers]

2.3 What SMEs Actually Need

A mid-market company with 15–40 AI systems in active use (the typical discovery finding) needs: a clean inventory (shadow AI included), a defensible risk classification with documented rationale, a prioritised remediation roadmap keyed to the actual enforcement dates for their tier, Article 50 disclosures live before August 2026, Article 4 training records from February 2025 onward, and — for any Annex III systems — a documented compliance programme with milestones toward December 2027. They do not need a 500-page evidence pack today; they need a credible, auditable programme in motion. The consulting advice from the market is clear: "keep ownership in-house, buy the scaffolding." [source: Groath.ai consulting analysis; Compyl AI governance roadmap]

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3. The Productized Service Ladder: Concrete Design [HIGH confidence for structure; MEDIUM confidence for precise pricing]

The following five-tier ladder is derived from documented consulting market practice, comparable GDPR/ISO readiness service patterns, and the specific EU AI Act obligation structure. Pricing anchors extend R-00135 benchmarks with AI-Act-specific calibration. All prices are indicative EU market rates for a small-to-mid boutique firm; they are not guaranteed market-clearing prices. Client acquisition and scope confirmation will determine actual rates.

Tier A — AI Inventory and Risk-Classification Sprint

What it is: A fixed-fee, time-boxed discovery sprint that produces the client's first defensible AI system register and risk classification.

Who it is for: Any EU business using or building AI — no Annex III dependency required. Broadest universe. Entry point into the ladder.

Scope:
- Structured workshops (2–3 sessions) with functional owners: IT, HR, legal, product, finance, operations
- Shadow AI elicitation (ChatGPT-class tools in workflows, AI-embedded SaaS)
- Per-system data capture: intended purpose, data types processed, affected populations, deployment context, EU market scope, provider/deployer role determination
- Classification against the four risk tiers (Prohibited, High-Risk Annex III, Limited Risk, Minimal Risk) using Article 6 decision tree and Annex III mapping
- Identification of any prohibited practice exposure (Art 5) — immediate red flags surfaced
- Identification of all Art 50 transparency obligations (chatbots, synthetic content, deepfakes)

Deliverables:
1. AI System Register (structured spreadsheet/database) with one row per system
2. Risk Classification Report with documented rationale per system and article citations
3. Immediate Action List — Art 50 disclosures to implement before 2 Aug 2026 and any Art 5 violations to cease
4. Executive Briefing (two-page summary for board/leadership)

Effort and timeline: 2–4 weeks. 1–2 consultants. No code, no implementation, no legal opinion.

Price anchor: €5,000–€8,000 fixed fee (for SMEs up to ~100 employees). Justification: 8–12 consultant-days, boutique rate €500–€700/day. Comparable to a lean GDPR initial audit circa

2018. The deliverable is concrete and bounded. This is the offer to put on the website. [source: Legalithm compliance costs; Glocert phase breakdown]

Upsell path: Nearly all Tier A engagements reveal at least one Art 50 obligation (chatbot or content tool) requiring immediate attention, and 2–5 systems that may be Annex III high-risk, creating natural demand for Tier B.

Tier B — Gap Analysis and Remediation Roadmap

What it is: For clients who have completed Tier A (or have an existing inventory), a systematic gap analysis against all applicable EU AI Act obligations and a prioritised remediation plan.

Who it is for: SMEs with at least one Annex III system (or concern that they have one), or any client with Art 50 obligations wanting a structured remediation plan. Typically follows Tier A by 2–4 weeks.

Scope:
- Map each system against obligation set by tier (Art 9–17 for high-risk; Art 50 for limited-risk; Art 4 for all)
- Score each requirement on a 0–5 maturity scale (Not Addressed → Optimised) — scores of ≤3 indicate remediation need
- For each gap: current state, target state, specific remediation actions, owner, estimated effort, target date aligned to enforcement deadlines
- Assess existing ISO 27001/42001 controls for overlap (40–50% reuse typical for ISO-certified firms)
- Prioritise by legal deadline: Art 50 disclosures urgent (Aug 2026); Art 4 training records urgent (Aug 2026 enforcement start); Annex III roadmap to Dec 2027

Deliverables:
1. Gap Analysis Matrix (per system × requirement, with maturity scores)
2. Remediation Roadmap with workstreams, milestones, owners, and effort estimates
3. Enforcement Calendar — annotated compliance deadline calendar for the client's specific system portfolio
4. Vendor/Tool Assessment — evaluation of whether existing SaaS vendors provide sufficient Art 13 documentation (instructions for use, capabilities, limitations)
5. Stakeholder Presentation — gap analysis executive summary for leadership/board

Effort and timeline: 3–5 weeks. 1–2 consultants plus optional fractional legal review.

Price anchor: €8,000–€15,000 fixed fee (standalone); €5,000–€10,000 as follow-on to Tier A. Justification: 12–20 consultant-days. Big-4 rates for comparable gap analysis start at €40,000+; boutique EU firm can price at 25–35% of that for focused SME scope. [source: AI Governance Consulting Pricing, Trussed.ai; DPO Consulting AI Act services]

Upsell path: Tier B inevitably surfaces documentation and technical implementation gaps that the client cannot self-serve, creating demand for Tier C.

Tier C — Documentation, Conformity, and Technical Implementation Support

What it is: Hands-on support building the compliance artefacts and technical controls required for high-risk AI systems. This is the most technically intensive tier and where AI-build credibility matters most.

Who it is for: SMEs with confirmed Annex III high-risk systems planning for Dec 2027 compliance. Also applicable for any client deploying GPAI-integrated products who needs to formalise the supply-chain documentation chain (Art 25).

Scope (modular — sell as full package or individual modules):

Module	Content
C1: Technical Documentation (Art 11, Annex IV)	Co-author the ~50-200 page technical documentation package: system description, design specifications, data sources, testing methodology, risk management records
C2: Risk Management System (Art 9)	Design and document the continuous risk management lifecycle: risk identification, estimation, evaluation, mitigation measures, review cadence
C3: Data Governance Documentation (Art 10)	Data provenance mapping, bias assessment process, data quality validation procedures
C4: Logging and Record-Keeping (Art 12)	Design event logging schema, implement or specify 6-month retention mechanism, configure audit trail
C5: Human Oversight Design (Art 14)	Define human-in-the-loop touchpoints, document override capability, specify monitoring responsibilities
C6: Quality Management System (Art 17)	Establish QMS covering design procedures, testing, post-market monitoring, incident reporting, corrective actions
C7: Conformity Assessment Preparation	Prepare evidence pack for self-assessment (Annex VI) or pre-audit for notified body (Annex VII for biometrics); CE marking process
C8: FRIA Support (Art 27)	Facilitate and document Fundamental Rights Impact Assessment for applicable deployers (public bodies, insurers, financial firms)

Deliverables: Varies by module. Full suite: complete evidence pack (200–500 pages per system), QMS documentation, conformity declaration, and notified body handover package if applicable.

Effort and timeline: 8–20 weeks for a full suite; 2–4 weeks per module. Requires consultants with both regulatory and technical fluency (where the AI-build background is directly valuable).

Price anchor: €20,000–€80,000 for a full Tier C programme (one high-risk system, full suite of modules). Individual modules: €5,000–€15,000 each. Second system adds ~50% of first-system cost (process reuse). ISO 42001 certification prep (which provides 60–70% evidence pack reuse) can be bundled at the high end. [source: Glocert Readiness Assessment Guide; ISO 42001 Certification costs, govern365.ai]

Pricing tension: Big-4 and boutique specialist firms charge €40,000–€150,000+ for comparable scope. A small firm entering at €20,000–€80,000 must signal quality through methodology transparency and actual AI system experience, not brand name.

Tier D — AI Literacy Training Programme (Art 4)

What it is: A packaged, repeatable AI literacy training programme satisfying Article 4 and generating the training records that national MSAs will expect from August 2026.

Who it is for: Every EU deployer and provider of AI — no Annex III dependency. The broadest tier. Natural entry-point for clients who discovered their Art 4 gap via Tier A.

Scope:
- Role-based training tracks: executive/board (strategic risk, governance), operational staff (identifying AI interactions, oversight responsibilities), technical staff (risk classification, documentation obligations), legal/compliance (regulatory framework, evidence requirements)
- Delivery formats: live workshop (half-day or full-day), asynchronous eLearning module, or blended
- Training completion records with timestamps (the evidence MSAs will ask for)
- Customisation layer: firm-specific AI system inventory embedded in case examples
- Annual refresh module to capture regulatory updates

Deliverables:
1. Training content adapted to client's AI inventory
2. Delivery (live or recorded)
3. Completion records and certificates per participant
4. Training Policy document (the Art 4 compliance programme, not a one-off event)

Effort and timeline: Initial setup 2–3 weeks; delivery 1–2 days per cohort; annual refresh 1 week.

Price anchor:
- Off-the-shelf workshop (generic, for 8–20 participants): €2,500–€4,000/day
- Customised programme with completion records and policy document: €5,000–€12,000 one-off
- Annual update retainer: €1,500–€3,000/year [source: AISO Learn Article 4 guide; AI Assurance Institute role-specific training]

Scale leverage: This tier is the most replicable and most suited to productisation. A standard curriculum built once can be delivered repeatedly with minor customisation. It is also the tier most naturally delivered as a group workshop across multiple SME clients — a commercial accelerator (run a joint workshop for five clients in one day).

Tier E — Ongoing AI Governance Retainer

What it is: A monthly retainer providing continuous compliance programme management, regulatory monitoring, and annual audit readiness — the "keep them compliant" product.

Who it is for: Clients post-Tier B or Tier C who need ongoing governance without hiring a full-time AI governance officer.

Scope (monthly retainer includes):
- Regulatory monitoring digest (monthly briefing on AI Act guidance updates, national MSA publications, harmonised standard developments)
- Quarterly AI system review (new tools adopted, changes to existing systems, updated risk assessments)
- Incident response support (serious incident notification procedures under Art 73)
- Annual internal audit against compliance programme
- Access to legal escalation channel (via a partner law firm or legal consultant — the critical liability boundary)
- Policy update management (Art 4 training refresh, Art 50 disclosure updates as product evolves)
- On-demand Q&A (cap: 4–8 hours/month included)

Deliverables (ongoing): Quarterly review report, regulatory update digest, annual audit report, updated AI system register.

Price anchor: €2,000–€5,000/month for SMEs with 1–5 high-risk systems or a modest limited-risk portfolio. Clients with larger portfolios or regulated-sector complexity: €5,000–€10,000/month. Minimum engagement: 6 months. Justification: 10–20 consultant-hours/month at €150–€300/hour. [source: Trussed.ai AI governance consulting pricing; R-00135 benchmarks]

Retention dynamics: Clients who have invested €20,000–€80,000 in Tier C documentation have strong incentive to maintain currency. This tier is the recurring-revenue anchor of the business.

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4. Pricing and Packaging: Context and Calibration [MEDIUM confidence]

4.1 Market Anchors

The AI governance consulting pricing market (per Trussed.ai, corroborated by multiple sources) shows: readiness assessments at $15,000–$50,000 (enterprise-scale); monthly retainers at $8,000–$25,000 (enterprise). Big-4 and MBB firms bill at $300–$1,000+/hour.

Boutique AI consultancies bill at $150–$300/hour. [source: Trussed.ai pricing guide] The prices proposed in Tiers A–E sit at the lower boundary of this market, calibrated for EU SME budget realities (not Fortune 500 enterprise programmes) and for a small firm without a major brand premium.

4.2 GDPR Analogue

The GDPR readiness market of 2017–2019 is the closest structural analogue: a new mandatory EU regulation, short compliance window, large SME exposure, no established playbook, and a wave of boutique consulting activity that preceded commoditisation by automation tooling. GDPR readiness assessments for SMEs were typically priced at €5,000–€15,000; DPO-as-a-service retainers at €300–€800/month for smaller clients. The AI Act is structurally more complex (risk-tiered, technical documentation requirements, role-dependent), which supports a higher price point and longer engagement cycle than GDPR. [source: GDPR + EU AI Act compliance tools comparison, Teamazing; DPO Consulting AI Act services]

4.3 Tooling Competition Risk

SaaS governance platforms (Vanta, Credo AI, Holistic AI, OneTrust, Modulos, Scrut Automation) start at roughly €10,000–€50,000/year and are growing rapidly. [source: Top 7 EU AI Act Compliance Tools, aicompliancevendors.com; Kla.digital compliance software comparison] These platforms provide templated documentation frameworks and evidence collection but do not replace: (a) the contextual judgment required to classify ambiguous systems; (b) the technical expertise to write accurate Art 11 documentation for a custom AI system; (c) the AI literacy training delivery and cultural embedding; (d) the "build and comply" integration for a firm that is also building new AI capabilities. A small firm should position tooling as infrastructure it deploys on behalf of clients (white-label or recommended platforms), not as a competitor.

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5. Differentiation and Sales Motion for a Small Firm [MEDIUM confidence]

5.1 The "Build and Comply" Unique Position

The single most defensible differentiation for a small EU software firm with actual AI implementation experience is the integration of compliance with capability. The compliance-only consultant can audit what you have; the build-and-comply partner helps you build what you need — compliantly, from day one. This matters because:

- SMEs often do not yet have the AI systems they will have in 2027. They are mid-build. A firm that can design the AI system with Art 9, Art 10, Art 11 compliance baked in avoids costly retrofitting.
- The technical documentation for a high-risk system is most naturally produced by engineers who built the system. A consulting firm that also built it holds a decisive

advantage over a pure compliance shop.

- "Client Zero": the firm running AI-assisted development on its own operations (as IW AI Core does) can evidence its compliance programme as a live demonstration — a more credible signal than theoretical methodology.

[source: EU AI Act Compliance 2026: Inside the Deal Room, The Industry Lens; Quantamix EU AI Act compliance guide]

5.2 EU Sovereignty Angle

EU-native firms have authentic positioning on data sovereignty and EU-jurisdiction processing that US hyperscale providers cannot match without organisational overhead. As the EU AI Act explicitly supports European AI sovereignty (per European Commission June 2026 communication on AI Continent), an EU-native firm can credibly promise: data never leaves EU jurisdiction; no US CLOUD Act exposure; regulatory familiarity rooted in the home jurisdiction. [source: European Commission Strengthening Tech Sovereignty, June 2026; Microsoft AI sovereignty checklist, May 2026]

5.3 Lead Generation and Sales Motion

Primary channels for a small firm:

1. **Regulatory content marketing**: The AI Act is generating enormous search volume. A firm that publishes precise, up-to-date, non-generic content (e.g., "What Article 50 means for your SaaS chatbot — a 5-step checklist") will generate inbound from SMEs actively searching. [source: R-00131 GTM funnel]
2. **Free diagnostic tool**: A public-facing AI system inventory/risk classification questionnaire (15–20 questions, instant output). This is the conversion mechanism that turns readers into leads and creates the "aha moment" of concrete obligation exposure. Legalithm, AiCompliBot, and the EU AI Office's own compliance checker exist, but they are generic. A firm-branded diagnostic tied to a specific sector (HR software, fintech, edtech) is more compelling. [source: EU AI Act Compliance Checker, artificialintelligenceact.eu]
3. **The August 2026 urgency window**: Article 50 creates a real six-week urgency event — chatbot disclosures are legally required 2 August 2026. A focused campaign ("Is your chatbot compliant by August 2?") with a fixed-fee Art 50 compliance sprint (subset of Tier A + immediate remediation) is a timely, bounded offer that converts.
4. **Partner channel**: Law firms and accounting firms advising SME clients have the trust and the client list but lack technical AI delivery capability. A co-delivery arrangement — law firm provides legal opinion, software firm provides technical documentation and implementation — captures deals neither could win alone. This also resolves the liability boundary (see Section 6.1).
5. **EDIH co-positioning**: European Digital Innovation Hubs are government-funded but often lack private-sector delivery capacity. A firm that becomes an EDIH-recommended

implementation partner gains free referral from 251 government-backed organisations. [source: EDIH network, European Commission]

6. **Industry association entry**: SME sector associations (Chamber of Commerce, industry verticals with high Annex III exposure: HR tech, fintech, edtech, medtech) offer group workshop opportunities that scale the Tier D training product across multiple clients simultaneously.

5.4 Procurement as Sales Catalyst

AI Act compliance is becoming a procurement requirement in enterprise supply chains. The EU's Model Contractual Clauses for AI (MCC-AI) require vendors to provide compliance evidence. Early movers report a 40% faster deal cycle and improved win rates in regulated-industry procurement. [source: EU AI Act 2026 Enterprise Compliance, The Industry Lens; EU Model Contractual Clauses for AI, Cooley] The sales pitch to a prospect is not "you might get fined" — it is "your enterprise customers will ask for this in the next contract renewal."

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6. Risks and Caveats [HIGH confidence on risks; LOW confidence on mitigation effectiveness]

6.1 The Law-Firm Boundary

A software firm delivering AI Act readiness services is not providing legal advice. The distinction matters: legal opinion (e.g., "this system is legally classified as high-risk under Article 6(2)(c)") requires a regulated legal professional; operational/technical compliance work (building the documentation, conducting the gap analysis, delivering the training) does not. The firm must:
- Explicitly disclaim legal advice in all service agreements and deliverables
- Include a standard clause directing clients to seek qualified legal counsel for regulatory determinations
- Partner with a law firm or legal consultant who provides the legal sign-off layer (this is also a competitive feature, not just a liability hedge)
- Never represent that completion of its services guarantees regulatory compliance

Failure to maintain this boundary exposes the firm to professional liability and potential regulatory issues in some EU jurisdictions. [source: Baker Donelson 2026 AI Legal Forecast]

6.2 Regulatory Uncertainty

The Digital Omnibus is not yet formally published in the Official Journal as of 23 June 2026. Council adoption is expected 29 June 2026 but has not occurred. Until then, the August 2026 original date technically remains the legal deadline for Annex III. The provisional agreement is considered firm planning basis by the market, but a firm must caveat this in client deliverables. [source: Dastra Digital Omnibus Parliament Vote]

Additionally: harmonised standards for the AI Act are still being finalised by CEN/CENELEC; the Article 6 classification guidelines were due by 2 February 2026 but their practical reach is still evolving; national MSA designation and capacity is uneven (9 of 27 member states have clearly designated authorities; 6 have yet to designate any). [source: National Implementation Plans overview, artificialintelligenceact.eu] This creates genuine uncertainty in advising clients on exactly what evidence will satisfy MSAs — a risk the firm must surface to clients rather than paper over.

6.3 The Deferral Changing Urgency

The Dec 2027 deferral of Annex III creates a "we have time" perception that reduces near-term urgency for high-risk system compliance. The counter-arguments are real (building from scratch takes 12–18 months; enterprise procurement is asking now; Art 50 is live in six weeks; Art 4 enforcement begins 2 August) but must be articulated actively. Sales content must explicitly address the deferral and reframe it as a planning window, not a delay. [source: AI Act readiness countdown, ResponsibleAILabs; Noze.it Omnibus analysis]

6.4 Commoditisation by Tooling

The SaaS compliance platform market is growing rapidly. Tools like Vanta (extending to AI Act), Credo AI, and Holistic AI provide templated documentation frameworks at scale. A firm that only does documentation production will face margin compression by 2027–2028. The durable moat is at the intersection of technical AI expertise (building and auditing the system itself) and compliance programme management (the human governance layer) — neither of which a SaaS tool replaces. [source: Kla.digital compliance software comparison; Vanta EU AI Act product]

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CHAPTER 04

Recommendations

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Recommendations

The natural deal pattern: most new clients enter at Tier A, move to Tier B within 4–6 weeks, receive Tier D training concurrently, and convert to Tier E retainer. Clients with confirmed Annex III systems add Tier C before December 2026 to allow 12+ months of programme buildout before the Dec 2027 deadline.

Productized Service Ladder: Summary Table

Tier	Name	Scope	Primary Deliverable	Price (EUR)	Duration
A	AI Inventory & Risk-Classification Sprint	All AI systems, all risk tiers	AI System Register + Immediate Action List	€5,000–€8,000 fixed	2–4 weeks
B	Gap Analysis & Remediation Roadmap	Obligation gap vs. applicable tier	Gap Matrix + Prioritised Roadmap	€8,000–€15,000 fixed	3–5 weeks
C	Documentation & Conformity Support	High-risk systems (Art 9–17)	Technical Documentation Package, QMS, Conformity Evidence Pack	€20,000–€80,000 (full); €5,000–€15,000/module	8–20 weeks
D	AI Literacy Training Programme	All deployers/providers (Art 4)	Training content, completion records, Training Policy	€5,000–€12,000 + €1,500–€3,000/year refresh	2–3 weeks setup; 1–2 days delivery
E	Ongoing AI Governance Retainer	Post-implementation governance	Quarterly review, regulatory digest, annual audit, incident support	€2,000–€5,000/month	6-month minimum

90-Day Launch Plan

Days 1–30: Build the Foundation

- Publish a detailed, authoritative piece of content on Article 50 compliance for chatbots/SaaS tools — timed to the 2 August 2026 enforcement date
- Build a 15-question public AI risk diagnostic (hosted on the firm website) that outputs a risk tier with an obligation summary and a CTA to book a Tier A sprint
- Draft the Tier A and Tier D service scopes and standard deliverable templates
- Identify 2–3 law firm or legal consultant partners for the legal-opinion layer; initiate conversations
- Apply to the nearest EDIH as a referral implementation partner

Days 31–60: Acquire First Clients

- Run a targeted "Article 50 August deadline" campaign to existing contacts and warm leads
- Offer one complimentary Tier A sprint to a reference client in exchange for a case study
- Conduct first paid Tier A engagement; use it to stress-test the methodology and deliverables
- Present at one relevant industry event (HR tech, fintech, legal tech) — compliance sessions are heavily attended in H1 2026
- Activate law firm partnership for first joint pitch

Days 61–90: Productize and Scale

- Deliver first Tier D training workshop (optionally as a group session for 3–5 clients simultaneously, sold at €2,000–€2,500 per company for economies)
- Begin converting Tier A/B clients to Tier E retainers with a structured retainer pitch
- Publish the reference client case study (anonymised if required) featuring the Tier A

deliverable format
- Build the Tier C module library (Art 11 technical documentation template, Art 9 risk management system template) in reusable form
- Set pricing publicly for Tier A and Tier D; keep Tier C and Tier E scoped per engagement

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CHAPTER 05

Limitations

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Limitations

1. **Not legal advice**: This research document provides no legal opinion, regulatory determination, or compliance assurance. It is a market and business-strategy research document for internal strategic planning. Nothing herein should be communicated to end clients as a legal assessment. All client-facing work must include explicit non-legal-advice disclaimers and referral to qualified legal counsel.

2. **Pricing is indicative**: All price ranges cited are derived from observed market ranges and analogues; they are not guaranteed market-clearing prices in any specific geography or sector. Actual prices depend on client complexity, geographic market, firm positioning, and competitive dynamics at the time of engagement.

3. **Regulatory flux**: The Digital Omnibus had not been formally published in the Official Journal as of this research date. The Dec 2027 Annex III date is a firm planning consensus but not yet legally enacted. Subsequent legislative changes could alter the compliance calendar.

4. **Jurisdictional variation**: National MSAs vary in capacity, focus, and enforcement philosophy. Enforcement intensity in Germany, France, and the Netherlands is likely higher than in smaller member states. Sector-specific MSAs (financial regulators, data protection authorities) may interpret obligations differently. Country-specific legal review is required for client-specific advice.

5. **No engagement with harmonised standards**: The harmonised standards under the AI Act (being developed by CEN/CENELEC) were not yet published at research time. When published, they will significantly specify exactly what Art 9–17 compliance looks like in practice. The firm's Tier C methodology will need to be updated when these are finalised.

6. **Market statistics caveat**: Readiness statistics (78% unprepared, etc.) derive from survey-based research and vendor-sponsored reports; they should be treated as indicative directional evidence, not precise data.

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CHAPTER 06

Sources

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Sources

Sources:
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- Small Businesses' Guide to the AI Act
- Article 4: AI Literacy
- Article 50: Transparency Obligations
- Article 99: Penalties
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- EU AI Act Update: Timeline Relief — Inside Privacy
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- AI Governance Consulting Pricing — Trussed.ai
- EU AI Act Readiness Assessment Guide — Glocert
- Vision Compliance 2026 Readiness Report
- EU AI Act Compliance Solutions Market Size
- It's Too Hard for SMBs — AI Policy Bulletin
- Deepfakes & Chatbots: Greenberg Traurig, June 2026
- Strengthening Europe's Tech Sovereignty — European Commission

#	Title	Credibility	URL
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2	Small Businesses' Guide to the AI Act (artificialintelligenceact.eu)	HIGH — Primary source	link
3	Article 4: AI Literacy (artificialintelligenceact.eu)	HIGH — Primary regulatory text	link
4	Article 50: Transparency Obligations (artificialintelligenceact.eu)	HIGH — Primary regulatory text	link
5	Article 99: Penalties (artificialintelligenceact.eu)	HIGH — Primary regulatory text	link
6	Annex III: High-Risk AI Systems (artificialintelligenceact.eu)	HIGH — Primary regulatory text	link
7	Article 9: Risk Management System (artificialintelligenceact.eu)	HIGH — Primary regulatory text	link
8	Article 11: Technical Documentation (artificialintelligenceact.eu)	HIGH — Primary regulatory text	link
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11	AI Literacy — Questions & Answers (EU Commission)	HIGH — EU Commission official FAQ	link
12	Article 50 AI Act Service Desk (EU Commission)	HIGH — EU Commission official guidance	link
13	Digital Omnibus on AI Regulation Proposal (EU Commission)	HIGH — EU Commission official page	link
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25	EU AI Act Readiness Assessment Guide (Glocert International)	MEDIUM — Compliance consultancy	link
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27	AI Governance Consulting: Costs, ROI & Selection Guide (Trussed.ai)	MEDIUM — Consulting platform	link
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29	Do You Need a Consulting Firm for EU AI Act Compliance? (Groath.ai)	MEDIUM — AI advisory platform	link
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43	EU AI Act: Responsibilities of Member States (artificialintelligenceact.eu)	HIGH — Primary source	link
44	EU AI Act National Implementation Plans Overview (artificialintelligenceact.eu)	HIGH — Primary source	link
45	EU Model Contractual Clauses for AI Procurement (Cooley)	HIGH — Major law firm	link